

Toughest Question Asked In Investment Banking Firm

NOTE: The below question Collated by various people and blog. It have contains all kind of questions like Investment Banking Division, Sales Trading, M&A, Research Associate, Bran Teaser Etc. These below question are only for Practice and improvement purpose. There is no accuracy or guarantee the questions.

1. To the best of your ability, can you tell us what high yield debt is?
2. If a company acquires another company with a lower P/E ratio, is the deal accretive or dilutive?
3. How would you go about calculating free cash flow?
4. When looking for a good leveraged buyout (LBO) candidate, what characteristics would you typically look for?
5. What would your client companies tend to do if the interest rate rose? Specifically, how would this influence their M&A activities?
6. How would you handle a discounted cash flow (DCF) analysis?
7. What is the angle between the two hands of a clock at 3.15pm?
8. Can you walk me through a typical IPO?
9. Could you calculate a DCF or net asset value (NAV) using Excel if I were to give you an appropriate model?
10. If an unlisted British manufacturer came to us to raise debt on the capital markets, what corporate parameters would you look at and what would you advise them?
11. What will influence the price of a residential mortgage backed security?
12. Can you produce a forward FX model for PLN/USD (the Polish Zloty/the U.S. dollar)?
13. Can you calculate the delta of an option without using the precise formula for delta? How?
14. You have a set of scales and nine bowls. One is gold, the rest are bronze and a different weight, You can only use the scales twice. How do you find the gold bowl?
15. Explain a credit default swap to me?
16. What recent developments in the news may affect the bank's activities?
17. If you have one a cube that is made of 6x6x6 little cubes and you put it into paint, how many cubes would get painted?
18. What are the risks of waiting until 2019 before raising the interest rates substantially in the U.S.?
19. Describe the behaviour of $x^{(1/x)}$.
20. How many zeros are there in 100 factorial?
21. A team member isn't contributing. You confront them. They still don't contribute. What next?
22. How do you handle a client who goes against the company policy?
23. Walk me through your CV.
24. Which was your preferred class at university?
25. Your professor accidentally sends you confidential information intended for another student. What do you do?
26. You are working on a secret project. Your previous manager asks about it. He says he wants information on the project to help with an important decision. What do you do?
27. What are your strengths?
28. What are your weaknesses?
29. Which of your skills and experiences make you appropriate for this job?
30. What motivates you in life?
31. What would make you satisfied?

32. Why Goldman Sachs?
33. What makes Goldman Sachs different to its competitors?
34. Why do you want to work for this division of Goldman Sachs?
35. Why do you want this job at Goldman Sachs?
36. How do you know you want this job at Goldman Sachs?
37. Have you ever had any issues with work/life balance?
38. What skills do you think are required to do this job?
39. Can you talk about a mistake you made in the past, and how you overcame it?
40. Who is the most famous and influential person you would like to meet and why?
41. Can you talk about a challenge you faced in the past? How did you overcome it?
42. Can you talk through a time you worked with a co-worker? How did you build that relationship?
43. Can you tell me a time when you failed to meet a deadline?
44. What's more important: deadlines, or the quality of work?
45. Can you tell us about an episode where you were short of time for delivering a large project? How did you overcome that?
46. Can you give an example of a time you streamlined a process?
47. Talk to me about your previous jobs.
48. Which part of your previous jobs did you like the least?
49. What are your strengths?
50. What are your weaknesses?
51. Which role do you usually play in a team?
52. What would your team mates say about working with you?
53. Why would your team mates choose to work with someone else instead of you?
54. Would you rather be captain of a losing team or the regular member of a winning team?
55. Why did you choose your college/university? Why did you choose that subject?
56. Give an example of a time you acted as a leader.
57. Describe a time when you worked in a team where there were disagreements.
58. Describe a time you research a subject of interest to you. How did you go about that?
59. Would you say you're a perfectionist?
60. What's been the most important experience of your career? Why?
61. Can you talk us through a time when you had to decline a client's request? How did you approach that?
62. Your friend is cheating in a test. He's on his last warning. You're the only one who knows he's cheating. What do you do?
63. Your mentor asked you to deliver something in 30 minutes, but you have something else due in too. What do you do?
64. Tell me about yourself. You have three minutes.
65. IBD (Investment Banking Division) Questions from Goldman Interviews
66. Walk me through the three different ways of valuing a company.
67. Walk me through a DCF. What does a DCF do?
68. Walk me through an LBO analysis.
69. What factors can lead to the dilution of EPS in an acquisition?
70. If you are in a business that wants to preserve cash, what type of inventory accounting method would you use (LIFO or FIFO) in a time of rising prices, and why?
71. You're using multiples to value a company but those multiples are skewed. What do you do?
72. What is Minority Interest and why do we add it in the Enterprise Value formula?

73. Why is cash subtracted from Enterprise Value (EV)?
74. Briefly walk me through a discounted cash flow analysis. (including WACC).
75. If a company raises debt, what happens to its WACC? What might make your answer wrong?
76. A client in the aerospace industry wants to know about related markets which are impacting his stock price. Which industries and markets do you look at?
77. Why can't you use EV/Earnings or Price/EBITDA as valuation metrics?
78. Discuss a deal you have read about recently.
79. How do the three financial statements fit together?
80. Which is the best method of valuing a company and why?
81. What does shareholders' equity consist of? How does net income affect it?
82. What will you actually do as an analyst or associate in an investment bank? What attracts you to this?
83. You're meet the CEO of an industrial company. She wants to know how much her company is worth. Which information do you need?
84. How does depreciation move throughout the financial statements?
85. What does IBD do?
86. What's the NPV of \$1 with a 10% discount rate over 10 years?
87. How do you choose between a company with a P/E ratio of 8 and another of 10?
88. You receive a dollar for the rest of your life? What's the value of those dollars today?
89. How would you value a company which was very successful until recently, but lost market share due to a single event?
90. Where do you see markets trading in three months, six months, nine months?
91. Which structured equity product would you issue in the current market conditions?
92. Explain the options Greeks.
93. Explain what a put option is.
94. Explain the assumptions behind Black Scholes.
95. Is gold overpriced?
96. Are equities overpriced?
97. What's moving the markets now?
98. What's happening to market volatility and why?
99. What's your top stock pick?
100. General Motors or Facebook? Why?
101. How would you hedge against the risk of an Apple bond defaulting?
102. Why are you better than other candidates on picking stocks?
103. How should a bank evaluate the creditworthiness of a counter-party?
104. Pitch a long stock? Pitch a short stock?
105. How would you invest \$1k?
106. If you had \$1bn to invest in global equities, how would you position your portfolio?
107. You're given information about a company's stock price over a period of 12 months. How do you determine how risky it is?
108. What's the Monte Carlo method for pricing options? How does it work?
109. Talk to me about an asset class you're interested in.
110. What's the first question you would ask a potential client?
111. Describe a time when you used data to forecast trends.
112. What are today's 10-year treasury bond returns?
113. Name a political event you're tracking. How do you expect this to impact the markets?

114. You have a zero coupon bond and a par bond. Which has higher duration?
115. What do you think of Bitcoin?
116. What is 38 squared?
117. There are three ants walking along the side of a triangle in any direction at the same speeds. What is the probability that any two of them will eventually collide? Generalize this probability for n ants.
118. Estimate the value of the tie industry in the UK.
119. How many airplanes are in the sky above New York City at any moment?
120. What is the angle between the hour and minute hand of a clock at 3.15?
121. If you were shrunk to the size of a pencil and put in a blender, how would you get out?
122. When you heat a sausage in the microwave, the tear is always lengthwise. Why is that?
123. If I gave you €10m, would you either buy a 5-star hotel in the centre of Paris or five cheap motels along the ring road?
124. What's the sum of all the numbers between 1 and 100?
125. Two die are rolled six times. What's the probability of achieving results that sum to six?
126. You roll two dice for an infinite amount of times, what is the probability that you get a sum of four before a sum of two?
127. How many times can you expect to flip a coin until the sequence THT is observed?
128. How many times can you expect to toss a coin until you get consecutive heads?
129. What does the operations division do?
130. Talk to me a bit about our 3rd quarter results.
131. What's the probability of getting a full house in a poker game?
132. Add the numbers between 1 and 10.
133. I can see you're entrepreneurial, but you want to work in banking. Why is that?
134. What attracts you to a career in banking?
135. What kind of lifestyle do you expect to have in banking?
136. Why have you chosen banking over consulting?
137. Do you know what you're letting yourself in for?
138. What would you be doing if you weren't in finance?
139. Do you know about the investment banking lifestyle? Why don't you have a problem with it?
140. What are some of the most significant deals our bank has completed in the last 12 months?
141. What is our current stock price?
142. What do you think this bank's biggest regulatory threats are at the moment?
143. What do you see as the strengths and weaknesses of this business/division?
144. What differentiates our firm?
145. Who's our major competitor? How do we measure up? What are the risks and opportunities we face?
146. Tell me everything you know about our business model.
147. Which area of our business is strongest?
148. Who's our CEO?
149. What's the most important thing affecting this bank now?
150. What do you think this position requires, and how well do you match those requirements?
151. Why should we hire you?
152. How many pigs are there in China?

153. A snail climbs a 10 foot pole. It climbs three feet every day and sleeps at night. While sleeping, it slides down by one foot. When does it reach the top?
154. You have eight red socks and 11 blue socks in a drawer. They are identical but for the colour. You must select your socks in the dark. How many socks, at a minimum, must you take out of your sock drawer before you have a matching pair?
155. A lily pad doubles in size every minute, it takes one hour for the lily pad to cover an entire pond. How long did it take for the lily pad to cover only a quarter of the pond?
156. How do you find the heaviest ball from a collection of eight balls with the fewest number of weighing sessions?
157. We have a cup of water and you drink a half of it. I drink the half of what's left. Then you drink the half of that. The process continues until the water has gone. How much more water do you drink than me?
160. What is the Dow Jones Industrial Average/FTSE as of today's opening bell?
161. What is the Bank of England base rate/Fed funds rate as of this morning?
162. What's the different between prop trading and market-making? (We have an explanation of this here).
163. Why would you or would you not invest in Apple?
164. How will Donald Trump's policies affect the stock market and M&A climate?
165. Where are the 1-year, 5-year, and 10- year Treasury yields?
166. Would you invest in UK real estate now?"
167. What do you think is going to happen with interest rates over the next six months?
168. What has the market been doing? Why? What do you think it will do in the coming 12 months?
169. Tell me about some stocks you follow. Why should I buy them? What's their story?
170. What does the yield curve look like now?
171. What major factors drive M&A? What are the major factors driving M&A in your sector? How do you see them evolving in the next year?
172. Where is the market (for bonds/equities/FX) going?
173. How would you hedge against Brexit?
174. Where do you see the euro in 2020?
175. Where do you think the global economy is headed?
176. What's happening to the oil market? How will this impact other markets?
177. What happens when the Fed really starts increasing interest rates?
178. I've been in a coma for nine months and just woke up. Tell me what's happening to the global economy.
179. The ECB stops quantitative easing. What happens to the markets for equities, rates and credit and why?
180. Is quantitative easing connected to the oil price? How?
181. The past experience questions
182. Walk me through a deal you did in the past six months.
183. Walk me through your CV/resume without looking at it.
184. Why did you leave your last position?
185. What have been your failures and what have you learned from them?
186. What are your proudest accomplishments?
187. Define Beta

188. Define CAPM
189. What's WACC and how do you calculate it?
190. What is accretion and dilution?
191. If two companies are trading at the same trailing P/E multiple, are they also trading at the same trailing EV/EBITDA multiple?
192. Walk me through a DCF...
193. Walk me through a DCF backwards
194. What are the different methods of valuation and what are their pros and cons?
195. How are the 3 financial statements linked?
196. What is working capital?
197. Walk me through the major line items of a Cash Flow Statement
198. What is DDM?
199. Which is higher - the cost of equity or the cost of debt, and why?
200. Why should a company prefer equity finance to debt finance?
201. Tell me about a technology company. Now tell me who they should acquire and why.
202. Walk me through the four valuation methods. Now ranking them in order of your preference. Explain why you've done this.
203. How do you use a leveraged buyout (LBO) to value a company?
204. How do you boost returns in an LBO?
205. What's a net operating loss (NOL)? How is this used?
206. How do you account for convertible bonds when you're calculating enterprise value?
207. What's the Treasury Stock Method?
208. Talk to me about a recent merger you have followed? What was the price paid for the target? Why did the acquiring company decide to buy at that price? If you were part of that deal team, what would you have done differently?
209. Give me the net present value of \$1 with a 10% discount rate over 10 years.
210. Name me two companies that you think should consider merging. Why?
211. How would you value an apple tree?
212. How would you value an established industrials company vs. a tech start-up? Why?
213. Talk me through options pricing
214. The culture questions
215. When have you worked in a bad team? Which steps did you take to make it better?
216. What is the most ethical decision you've ever had to make?
217. Give me an example of a person you think has integrity and explain why.
218. Give me an example of a person you think is credible and explain why.
219. How would you describe your leadership style?
220. What would you do if you did not have to work for money? How does that relate to this job?
221. Have you ever had to bend the rules to get the job done. Why was that?
222. Can you describe a situation in which you made a mistake and had to admit it to peers?
223. What kinds of people do you find it easiest to work with? Why?
224. How do you handle stress? Do you tend to make a lot of technical errors?
225. Why are you so special and what is one word that describes you best?
226. How would your classmates/colleagues describe you?
227. What's the last book you read?
228. What is the riskiest thing you've ever done?
229. How would you spend \$1m besides investing it?

230. Where do you see yourself in five years' time?
231. What's your favorite movie?
232. How would you rate yourself on a scale of 1-10? [Pause after answer.] I would say you're a 2.
233. Explain the thought process behind your majors
234. You have 10 minutes before you're due to give a presentation. What do you do?
235. Which qualities are important if you're to work in investment banking?
236. How many windows are in this building?
237. If you had a Rubik's cube with 10 little squares on each side, and peeled off the outer layer, how many little cubes would you end up with?
238. How many trees are there in Central Park?
239. How many planes land at Gatwick every day?
240. How many people enter London every day for work?
241. How many houses higher than 20m are there in NYC?
242. How many people set foot in the Roman Colosseum on an average day in August?
243. How many times does a ball get hit in the average game of tennis?
244. What's the probability that a pregnant woman has a baby boy?
245. How many matches take place during the Wimbledon tennis championship?
246. How many people set foot in the Vatican during an average day in July?
247. You're about to give a PowerPoint presentation in a meeting and you notice it has a mistake in it. What do you do?
248. What's the square root of two?
249. If one mile is 1.6km, how many kilometres are in eight miles?
250. How many skis are sold in Sweden each year?
251. Demand for skis declines sharply. What should the company selling skis do?
252. How much money would a buffet car on a train travelling from Edinburgh to London make, on average?
253. What's 16 multiplied by 243?
254. You look at the clock. It's 3.15pm. What's the angle between the clock hands?
255. What is the sum of the numbers from one to 100?
256. What's the square root of 0.1?
257. What's one divided by 16?
258. What is the expected value of a roll of a dice?
259. I flip a coin. If it's heads you pay me £100. What should I pay you to play this game?
What about if I only have to get 1 heads in two tosses, what is the new price?
260. Add up all the numbers between 0-100.
261. Can you make a market based upon the expected value of a roll of a dice?
262. You have a 3 liter and a 5 liter bottle. How do you measure 4 liters of water exactly?
263. Where do you see yourself in five years' time?
264. What's the story behind your resume?
265. Tell me about yourself without mentioning your resume.
266. Describe a time you took a risk.
267. Someone didn't take your idea into account. How did you react?
268. Tell me about a class you did poorly in.
269. Give an example of a time you encountered a difficult question whilst working in a group.

270. Give me an example of a time you motivated others to achieve a particular result?
271. Have you ever had to compromise to make an achievement? How?
272. What's your greatest achievement?
273. What is the biggest risk you have ever taken in your life?
274. Sell me something that you think I would need.
275. What do you see yourself contributing to this organization, in both the short and long term?
276. Describe a time you led a team and dealt with a difficult individual in that team.
277. Have you ever had to change your working style to deal with a difficult team member?
278. How would colleagues describe you?
279. What are your three main strengths and weaknesses?
280. What would you do if you knew your boss to completely wrong about a work issue?
281. Which books do you like reading?
282. What's been your biggest failure at work?
283. Your boss assigns you a project and then goes on holiday. What do you do?
284. You're in the middle of an urgent task and someone more senior demands some instant information. What do you do?
285. Tell me about a time when you had a positive impact on a project. How did you measure your success?
286. Describe a task that really tested your analytical abilities.
287. Tell me about a time when you were confused about details of a request. What steps did you take to clarify things?
288. How do you prioritize tasks and projects when scheduling your time? Give some examples.
289. Have you ever had a project not go according to plan? What happened? What did you do to get it back on track?
290. Describe a time when you received difficult feedback. How did you respond?
291. How would you coach someone else on building trust?
292. Describe a situation when you worked with others on a project and your teammates disagreed with your ideas? How did you respond? What were some of your (collective) challenges and how did you resolve them?
293. Describe a project you previously worked on with a team. What made the team successful?
294. Describe your experiences with creating presentations for school, internships or volunteer activities. How did you know your presentation was successful?
295. Why banking?
296. Why J.P. Morgan?
297. Why do you want this job in this division?
298. What do you think this job will entail exactly?
299. Bankers can work hard. How would you handle that?
300. Why has J.P. Morgan been in the news recently?
301. What's J.P. Morgan's share price today?
302. What are the biggest regulatory threats faced by J.P. Morgan?
303. What was J.P. Morgan's price/earnings ratio in the past quarter?
304. What's our stock price?
305. Where do you see the banking industry in 50 years time?

306. Describe a recent news article that interested you.
307. Markets questions from J.P. Morgan interviews
308. What's the connection between interest rates and equity prices?
309. What are the three top stocks to buy now? Why?
310. Which bonds would you buy if Greece defaulted?
311. How would you persuade a German pensioner to save Greece?
312. Can you describe how swaps work?
313. Where do you see the interest rate on US 10 year treasury bonds going?
314. A natural disaster occurs in Manhattan. What impact does this have on markets?
315. What's wrong with the UK economy?
316. Where did the oil price close yesterday?
317. How would you invest \$1m?
318. What can you tell me about quantitative easing in Europe?
319. What impact do interest rates have on a country's exchange rate?
320. Which are the most important/interesting subjects within FX markets at the moment?
321. What would be the impact on markets if the US went to war with Iran?
322. Where's the S&P trading?
323. What is the current yield on a 10 yr Treasury bond?
324. Draw me a call option.
325. What's more expensive - debt, or equity?
326. A company's depreciation expense goes up by \$100. How does this affect its three financial statements?
327. What happens to enterprise value when you issue or repurchase shares?
328. Would you use EBIT or EBITDA to value a capital-intensive company?
329. How can you use EBITDA to calculate the cash-flow from operations?
330. How would you value the pizza shop on the corner?
331. Pick an industry, tell me how it's been doing for the past 5 years and how you think it will do for the next 10.
332. Walk me through a DCF.
333. How do you work out the best discount rate to use in a DCF?
334. How do you calculate the future projected cashflows for a DCF?
335. Walk me through some of the ways you value a company.
336. What are the three most common methods of valuing companies? What are the advantages and disadvantages of each?
337. What's the terminal growth rate? How do you calculate it?
338. You're the CEO of a company. Would you rather raise debt, or equity? Why?
339. Can you describe the difference between the balance sheet, income statement, and statement of cash flows?
340. A pharma company is awaiting FDA approval for a new drug. It is their first and their only product. They have nothing else in the pipeline. Can you provide an approximate for the beta of the company during the FDA approval process.
341. How would you go about valuing Apple?
342. How would a DCF change for a company in the biotech space?
343. Within WACC, what is Cost of Equity and how do you calculate it?
344. What does PIK interest mean? How does it work?
345. There are two firms. One has 100% equity and the other has 50% equity and 50% debt. Which one will have the lowest WACC? Why?

346. What are assets on the balance sheet of a financial institution?
347. Using your knowledge of the current financial climate, can you propose an M&A deal that you think should happen?
348. What is the role of a Corporate Client Solutions team?
349. We're creating a DCF (discounted cash flow) for a company that has plans to acquire a factory for \$100 in cash in year four. The present enterprise value of our company is currently \$200 according to the DCF. How would we change the DCF to account for the factory purchase, and what would our new Enterprise Value be?
350. In the Enterprise Value formula, why is the cash subtracted?
351. To the best of your ability, tell us about a deal that UBS has made recently.
352. Explain to me how a DCF is constructed and implemented.
353. Explain to me how an LBO (leveraged buyout) is constructed and implemented.
354. To calculate fully diluted shares, what would you do?
355. An equity investor can predict what kind of return they can expect on their investment in a given company using cost of equity, but what sort of information could they get using dividends?
356. A company is acquiring another company with a P/E of 14. What will the cost of debt need to be to make this deal accretive?
357. What interests do you have other than trading?
358. Given the choice, using your knowledge of the current financial climate, which company would you invest in?
359. What are your opinions on what the world will be like in the year 2050?
360. Pick a stock of your choice, then pitch it to me.
361. What sort of effect might a macro event have on your stock?
362. How is the risk (the Brownian motion part) constructed in HJM (Heath-Jarrow-Morton) model?
363. Tell me about a recent development in the market?
364. Tell me about a trend that you know of in the current market?
365. To the best of your ability, define VaR.
366. If 80% of Ford's sales are in Europe, what would happen to company's annual revenue if the exchange rate declined from 1.5 to 1.
367. To the best of your ability, define Basel III.
368. What are the advantages and disadvantages of 'Comparable Company Analysis'?
369. How do you calculate the cost of equity?
370. To calculate shares that are fully diluted, which method would you use?
371. How do you value a company?
372. Which are the typical stages of an IPO?
373. How much do you know about discounted cash flow analysis?
374. What do you think of stock repurchases?
375. What is the best metric for valuing a company?
376. How many hours are there between the 27th of February and the 3rd of March?
377. In which kind of scenario would you not use comparables of discounted cash flow to value a company?
378. Why is minority interest subtracted out in the calculation of free cash flow?
379. Explain how the balance sheet and cash flow statement tie together.
380. Explain to me how an LBO is constructed and implemented.
381. How would you value an apple tree?

382. Which factors influence the price of a residential mortgage backed security (RMBS)?
383. Talk me through the European Debt crisis from the beginning to the current time.
384. What is the main driver that is making the debt crisis persist? What would be the solution in your opinion?
385. What is the difference between 'TIPS' and an 'I bond'?
386. What is the role of a corporate client solutions team?
387. What is bond duration?
388. If you are McDonalds, which is better: A 5% increase in the price of all existing products (assuming price inelasticity) or a 5% increase in total volume as a result of a new product?
389. If I ask you to research a company, what is the first thing you'll look at: cash flow, income statement or a balance sheet? Why?
390. What will you do if the stock falls 20% after one month of your buy recommendation?
391. So you play poker. What are the odds of flopping a flush if you have two cards of the same suit? What if there is \$200 in the pot and the guy ahead of you bets 40. Do you call? How many people must call before you to have good, "pot odds"?
392. What ratios would you analyze to understand the liquidity, the efficiency and the profitability of a company?
393. What kind of financial modeling have you done in the past?
394. Let's say I have two envelopes. And I tell you that one has twice as much as the other one. You open the first one and it has \$100. You may open the second one but you forfeit the \$100. What do you do?
395. You work on the sell-side. Why do you want to join the buy-side?
396. There are two companies in the same industry. One increases price and the other invests to increase production capacity. Which one would you rather invest in?
397. Tell me about a piece of feedback that surprised you?
398. What are the main reasons that the market is up this year?
399. News breaks that a public company that you cover is about to acquire a private company. Your phones start to ring. On one line is your trader, on the other is your top institutional investor. Which phone do you answer and why?
400. What are some of the weaknesses of a PE (price-to-earnings) valuation?
401. Given the cost of production is \$10 for one company and \$40 for another, both with revenues at \$50, given P/E at 1x. If one more cycle of cost-revenue goes by, which company should you invest in?
402. Tell me about your worst investment decision.
403. How do you plan to deal with the issues presented by Brexit? What happens to your London office if the UK loses the ability to passport into the EU?
404. How do you expect Basel IV to impact your risk weighted assets? What implications would you say this has for your strategy?
405. How do you expect the changing macro environment to influence the allocation of assets in your private bank? How is this likely to impact your margins and earnings?
406. You're highly geared towards the Asian market. Do you see investment banking activity there stabilizing in future?
407. Following Deutsche Bank's large proposed fine from the U.S. Department of Justice, are you apprehensive about the potential for future fines at Credit Suisse? What implications would a large fine have for your investment bank?

408. How do you plan to deal with passporting, Basel IV and the potential for a large DOJ fine Do you expect to make further markdowns on your legacy assets? Does this have any implications for your capital ratio?
409. How optimistic are you of reducing the size of the fine from the DOJ? What happens to the strategy for your investment bank if the reduction in the fine is not substantial?
410. How does Deutsche Bank plan to increase its capital ratio to the required level of 12.25% by 2018? - J.P. Morgan estimates that your current Basel III core equity tier one ratio is just 11.0%.
411. You've said that Postbank should be ready for an IPO by the first half of 2016. How optimistic are you about this going ahead?
412. You've given flat year-on-year cost guidance of around €26.5bn for 2016. To what extent do you expect costs to fall next year?
413. Analysts at J.P. Morgan are predicting that your return on equity will be just 2.1% this year. Are you optimistic this will increase in future? Why?
414. How optimistic are you that Deutsche's Strategy 2020 will go to plan? What would you say the main execution risks are with the strategy?
415. J.P. Morgan's banking analysts expect fixed income sales and trading revenues to fall by 3% this year and to grow by just 1% and 2% in the two subsequent years. Deutsche is highly exposed to fixed income sales and trading. How do you plan to overcome slow FICC growth?
416. Should I be worried about mark-to-market writedowns in Deutsche's legacy assets across structured credit, leveraged finance, mortgaged back securities and CDOs? Why not?
417. How concerned are you about a sustained downturn in the fixed income sales and trading business?
418. Your investing and lending division has struggled in recent quarters. What are the implications for this business if equity or debt markets lose value?
419. How do you plan to achieve your cost cutting intentions when regulatory costs keep rising?
420. How do you expect to reach your required capital ratios under Basel III and Basel IV? Do you anticipate further reductions in your risk weighted assets? How will this impact your fixed income trading business?
433. Your last strategic plan (2014-2016) emphasized growth (particularly in the U.S. investment bank). How is this likely to change in 2017?
434. How is Brexit and the probable end of EU passporting rules likely to impact your investment bank in the UK?
435. How concerned are you about UK macro and political uncertainty after the EU referendum? To what extent will slowing UK economic growth and falling asset prices create problems for Barclays' UK and U.S.-focused investment bank?
436. Would you say that it's accurate to describe your strategy for the investment bank as optimising the cost base rather than the capital base (as described by J.P. Morgan's analysts) in order to improve returns? If so, which costs do you expect to take out in 2017?
437. You're very geared to the fixed income cycle. How worried are you about a prolonged downturn in fixed income sales and trading?
438. To what extent are you concerned about margins across the bank falling if the Bank of England cuts rates again?
439. Why are you in the market now for a new role?
440. If your last position didn't work out, why was that?

441. Describe your experience leading a team, including at least one challenge you faced as a manager/team leader.
442. What do you think are U.S. and European asset managers' biggest challenges in doing business in China?
443. What do you think about all the volatility in the markets and how retail and institutional investors are reacting to the current macroeconomic environment?
444. How would you forecast our business in the Americas, EMEA and Asia-Pacific (likely to be specific to the region in which you're applying)?
445. Why are you interested in this role?
446. What do you consider your strengths to be?
447. What would your developmental areas be, that is, what are areas that you would need to work on to get up-to-speed or improve your performance?
448. What questions do you have for us?
449. Do you have a work visa, or would you need sponsorship?
450. When can you start?
451. When you're considering the industry, what you need to think about:
452. What the company does. What are its key products and markets? What's the main source of demand for its products?
453. What are the key drivers in that industry?
454. Who are the market participants? How intense is the competition?
455. Is the industry cyclical? Where are we in the cycle?
456. Which outside factors might influence the industry (eg. government, climate, terrorism)?
457. When you're considering the company, what you need to think about:
458. When you're considering the revenues, you need to think about: What's driving them
Where the growth is coming from ,How diverse the revenues are,How stable the revenues are
(are they cyclical?)
459. How much of the revenues are coming from associates and joint ventures
460. What's the working capital requirement? - How long before revenues are booked and received?
461. When you're considering the competition, what you need to think about:
462. When you're considering the growth prospects, what you need to think about:
463. When you're considering the due diligence, what you need to think about:
464. When you're considering the transaction, what you need to think about:
465. What is ECM:
466. What are the advantages and disadvantages of an IPO?
467. A company makes a \$140 cash purchase of equipment on January 1. How does this impact the three statements this year and next year?
468. How would you explain the difference between the debt capital markets and leveraged finance teams in investment banking?
469. Tell me how would you value a company? Which tools are most effective in this area?
470. Tell me a company you would invest in and why.
471. A company with high P/E acquires a rival with low P/E. Is this accretive or dilutive?
472. When would you use a PEG multiple?
473. What two companies are you bullish on, and what two companies are you bearish on?
Why?
474. What is DCM

475. Explain to me what an FX forward is.
476. How would you describe the difference between the DCM team of an investment bank and a leveraged finance team?
477. A UK company decides to issue a bond in USD. What are the reasons for doing this? What risks are they exposing themselves to? How would you mitigate against this risk?
478. Let's say this company issues \$xx of senior notes – what will its credit statistics look like after that debt issuance, over the next 5 years?
479. Explain a yield curve as you would to your grandma.
480. What's your opinion on the Bank of England's monetary policy? How do you see it changing next year?
481. What is a convertible bond? When would a company use one?
482. Both:
483. What does the capital markets division of an investment bank do?
484. How would you rate us against our competitors?
485. Wouldn't you be better suited to working for another organisation?
486. What exactly does the word 'success' mean to you?
487. Tell me about a challenging situation you have faced. What was this situation? How did you handle it?
488. What's 567×4 ?
489. How many weddings are there in France in a year?
490. What is unique about our firm's culture?
491. If I buy new property plant and equipment (PP&E) for \$10m (\$5m cash and \$5m debt), what will happen to the balance sheet and cash flow?
492. Who will pay more for an acquisition, a strategic buyer or financial, and why?
493. Why would two companies in the same sector have different P/E ratios (one is lower, other is higher)?
494. How do you ensure you meet delivery deadlines?
495. Have you ever failed to meet delivery deadlines?
496. How many footballs would fit into this room?
497. Why did you choose to pursue a career in banking?
498. If you were advising a client, would you advise them to short or long shares in our company at the moment?
499. Why do bubbles not appear when sparkling water is closed?
500. Why, in this glass do the bubbles in the water sit at the bottom?"
501. Tell me about your personal morals, what p*sses you off?
502. Barclays: Internship, trading and structuring
503. What's $\frac{1}{7}$ expressed as a decimal?
504. There's a revolver, with two bullets in two chambers that are next to each other, and the rest of the four chambers are empty. The policeman spun the revolver and pulled the trigger at you, nothing happened. Suppose that you don't want to die, would you prefer the policeman to spin the revolver again before the next shooting or shoot again directly?
505. Suppose I have a string and cut it into two pieces, what's the probability that one piece is at least twice as long as the other piece?
506. So you study mathematics, tell me one the theorem you have learned in Discrete Mathematics
507. What is VaR? What are its advantages and disadvantages?
508. Barclays: Internship, operations

509. Tell me about Barclays?
510. Tell me a weakness of yours?
511. Explain a time where you coped with working in a 'difficult' team environment. i.e. where you didn't get on with members of your team.
512. Tell me how your previous work experience is beneficial in an investment banking environment.
513. Tell me about a time when you were required to be a leader.
514. Are you able to work with people of varying cultures? If so, explain why.
515. How many lightbulbs are there in the UK, USA and India?
516. How would you invest £1,000,000?
517. I have 45 socks in a drawer; 10 are blue, 15 are red, 20 are yellow. If I blindly pull out one sock at a time, how many attempts are needed to get a pair?
518. What have you done to prove your leadership skills?
519. What did the FTSE, NASDAQ, NYSE, NSE and BSE close at yesterday?
520. You've pitched me a buy stock and a sell stock, so what about a hold?
521. You say that equities are overpriced and due to collapse soon. How can you say that when that's my job and what I do for a living, day in day out? I'm telling clients to buy certain stocks, are you saying I'm wrong?
522. So you've never lived out for uni? How would you survive if I sent you to Hamburg for 2 years?
523. Which daily newspaper do you read? Aside from the FT or WSJ. And why?
524. Berenberg: Graduate position, equity research
525. What can you do with an orange?
526. If you were an animal, which one would you be and why?
527. There is another candidate for the position. Should we interview him and decide who is better or would you prefer we make our hiring decision by flipping a coin?
528. Citigroup interview questions
529. Citigroup: Summer internship, private banking
530. If you had to re-design an orange- what would it look like?
531. Do you think China's economy will continue to liberalise and by how much further?
532. What is your favourite Microsoft programme and why?
533. How did you convince a senior member of your team about the effectiveness of an idea you had?
534. What is the most significant recent development in the investment banking industry?
535. Tell me about a time when you were under immense pressure.
536. What do you think will be the emerging trends in consumer banking (yes, someone was asked this in an investment banking interview)?
537. Tell us about your strengths?
538. Do you have any examples of times when you used your own initiative?
539. Where do you see yourself in next five years?
540. I have a cube made up of smaller cubes, 10x10x10. If I dip the whole thing in paint, how many cubes will have no paint on them?
541. I have two frogs and their population doubles in size every second. It takes 60 seconds to fill up a room with frogs. How long does it take to fill up half the room?
542. What is DCF Advisory
543. How can you get from FCFF to FCFE?

544. Please create a one pager about a company in one hour.
545. Your client is a hedge fund that requires you to analyse a certain subsector of the FTSE 100 to identify trading strategies based on volatility. How do you approach the analysis?
546. How do you construct an exchange traded fund (ETF) and what factors do you take into consideration when you're doing so?
547. Do you believe there is a bubble in the bond market?
548. How would you rate us against our competitors?
549. Wouldn't you be better suited to working for another organisation?
550. What exactly does the word 'success' mean to you?
551. Would you say that you are a trustworthy person?
552. Do your friends trust you with their secrets?
553. What types of secrets do they share with you?
554. Where do you see yourself in 5 years?
555. Why are man holes round?
556. Are there enough hours in the day?
557. What is the square root of 1?
558. Petrol, or diesel - which is more combustible? Why?
559. Walk me through an LBO analysis.
560. What factors can lead to the dilution of EPS in an acquisition?
561. If you are in a business that wants to preserve cash, what type of inventory accounting method would you use (LIFO or FIFO) in a time of rising prices, and why?
562. What is Minority Interest and why do we add it in the Enterprise Value formula?
563. Briefly walk me through a discounted cash flow analysis. (including WACC).
564. Why can't you use EV/Earnings or Price/EBITDA as valuation metrics?
565. Estimate the value of the tie industry in the UK.
566. What are your best skills? Why would they be applicable?
567. Discuss a deal you have read about recently.
568. Who is the most famous and influential person you would like to meet and why?
569. When you heat a sausage in the microwave, the tear is always lengthwise. Why is that?
570. How could you set up a recursive function so that a really smart language / compiler could evaluate the function and never run out of memory?
571. When a firm has a market share of 50% in Germany and 30% in Europe, what is the market share of the firm in Europe without Germany?
572. You are given 100 million Euro to set up your own bank. Which customer segment would you focus on, and which strategy would you use for that?
573. Give an example of a time you encountered a difficult question whilst working in a group
574. What is the biggest risk you have ever taken in your life?
575. What do you see yourself contributing to this organization, in both the short and long term?
576. Why are you looking for an internship in Investment Banking?
577. Why do M&As happen?
578. What are your 3 main strengths?
579. What is your greatest weakness?
580. What motivates you?
581. You look at the clock. It's 3.15pm. What's the angle between the clock hands?

582. What is the sum of the numbers from one to 100?
583. What is the expected value of a roll of a dice?
584. Tell me about your educational background.
585. Which are the most important/interesting subjects within FX markets at the moment?
586. If you could pick whichever investment you wanted, where would you put your money today?
587. What do you think a position within FX Sales would entail?
588. Should charities be taxed?
589. You've been captain of your sports team and are obviously used to being in charge. How will you feel about being at the bottom of the food chain here?
590. Do you agree with the private equity model of buying cheap, cutting costs and selling high?
591. Can you estimate India GDP?
592. You've have estimated the average salary as £40k. Can you now estimate the largest mortgage an individual can obtain when buying a house. Let's say the interest rate is 5% on a 20 year mortgage.
593. Calculate the square root of 69
594. Name me a company you would invest in and why.
595. What are three ways of valuing a company?
596. What's 456×3 ?
597. How many weddings are there in Germany in a year?
598. How tall is the Citypoint building?
599. Describe yourself in three words.
600. What is your biggest flaw?
601. Mitsubishi UFJ interview questions
602. Mitsubishi: Graduate position, fixed income trading
603. What are the risks associated with owning a bond?
604. How do you hedge interest rate risk on a bond?
605. How does liquidity affect the bid-offer spread on a bond?
606. Mitsubishi: Graduate position, trading
607. What is the square root of 135?
608. Over the phone I was asked: 'Which is the main CDS index?'
609. What are the odds of getting two sixes in a row after throwing a fair dice twice?
610. What would you invest in if your holding period was 1 year, 3 years and 10 years?
611. What's the most important: Money, honour, or knowledge?
612. What's the square root of 341?
613. Why should we not give you the job?
614. Which other investment bank, apart from Morgan Stanley, do you like the most and why?
615. Is political risk in Eastern Europe a serious threat for banks?
616. Briefly walk through a discounted cash flow analysis (including WACC).
617. What is the formula for enterprise value?
618. What is minority interest and why do we add it in the enterprise value formula?
619. Which will place a higher value on the company, equity comparables (trading comps) or M&A comparables (transaction comps) and why?
620. A company makes a \$100 cash purchase of equipment on Dec. 31. How does this impact the three statements this year and next year?

621. Tell me how would you value a company? Which are the most used financial tools in this area?
622. Why cannot we use EV/Earnings or Price/EBITDA as valuation metrics?
623. What factors can lead to the dilution of EPS in an acquisition?
624. Why do we subtract cash in the enterprise value formula?
625. Where do you see yourself after this placement (if you got it) in 5 years' time?
626. Name a time you have had to make a tough decision. How did you deal with this?
627. Name a time you have been entrepreneurial. What did you learn from this?
628. What is a common ratio used in project finance and how do you calculate it?
629. Why is the DSCR used and what range do you expect it to be in?
630. What is the credit rating for high yield?
631. Why use a project finance structure as opposed to corporate finance?
632. What the delta of an option when it is at the money (ATM)?
633. What will happen to the price of the option if there is an increase in interest rates?
634. What is the price of an option if the volatility tends towards infinity? And what if the expiry date tends towards infinity?
635. How would you go about valuing a company?
636. Tell me about some time when you've had to overcome adversity?
637. How far do you see yourself going in the bank?
638. How do you price options?
639. If you would have to open an Rep Office, how would you advertise that?
640. When did you show entrepreneurial spirit?
641. What are your current views on the economy and investing?
642. Can you conquer the hardest strategy questions asked in finance interviews?
643. Estimate the volume of beer consumed in April in the United States.
644. How many wrapped gifts are given on a non-holiday day in Florida?
645. If ten couples want to meet each other, how many handshakes will occur?
646. How many cigarettes are produced annually in the U.S.? In the world?
647. How many fire hydrants are in the state of New York?
648. How many pairs of chopsticks will be sold in Japan next year?
649. How many miles does Southwest fly a year?
650. How many burger buns are sold in the United States every year?
651. What is the weight of the Empire State Building in New York?
652. How much change would you find on the floor of a mall in downtown San Francisco?
653. Banker offers up sample interview questions, unique advice for prospective investment bankers
654. Name three ways you value a company and the benefits / drawbacks of each
655. How do you calculate free cash flow?
656. How do you calculate WACC? What do you use for the cost of debt? What do you use for the risk free rate and what is that level today?
657. Why do companies merge?
658. Why would a company go public? Go private?
659. Give me a time when you had to work long hours? What did you dislike?
660. What do investment bankers do?
661. What is the role of the Associate?
662. What does a credit rating say about a firm?

663. Tell me about a recent deal you read about?
664. Explain your dissertation in laypersons terms
665. I see that you've studied Brownian motion. You might not have realised, but this is used in finance to price certain assets. Why do you suppose that is?
666. Tell me how you'd construct a risk neutral cross country trade on the 2 year – 10 year interest rate spread in Germany and the U.S.
667. How can I hedge out the correlation risk in my portfolio as cheaply as possible?
668. I have a strategy that is producing a Sharpe Ratio of 2. If the distribution of returns is stable how long would it be before we can be 95% confident that the distribution has a positive Sharpe Ratio?
669. If I gave you a million dollars right now, how would you invest it?
670. How profitable is your trading strategy?
671. How does your trading strategy work?
672. I'm concerned about the effect of a future event on our portfolio. What should I do?
673. Write a python program to calculate $X!$ recursively. What will happen if $X=2000$? How would you solve this problem?